
LAURUS Labs

Laurus Labs Limited | Company Overview

Company overview

- **When founded?** Founded in 2005; integrated pharmaceutical and CDMO platform.
- **Key products / services:** APIs, finished dosage formulations, small-molecule CDMO and Bio CDMO.
- **Promoter & promoter group holding:** 27.49% as of 31-Mar-2026.
- **Listing details***:* NSE: LAURUSLABS; BSE: 540222; model market cap: ₹53,592 Cr.
- **Registered office**: Parawada, Andhra Pradesh; corporate office: Hyderabad; core manufacturing: Visakhapatnam.
- **Growth drivers**: CDMO outsourcing, complex molecules, formulations, peptides/fermentation and advanced modalities.
- **Risks**: regulation, pricing pressure, capex execution and innovation.

Industry overview

- **Current Market size and forecast size:** India domestic pharma market: ₹5.30 lakh Cr in FY26; projected ₹12.47 lakh Cr by 2030 (implied ~24% CAGR).
- **Growth rate (%) over the forecast period;** 14.4% CAGR (2025–2031)
- **Market share***:* Laurus Labs does not disclose a consolidated CDMO market-share figure; CDMO contributed 31% of FY26 revenue (₹2,080 Cr).
- **Relevant peers:** Divi's, Torrent, Sun Pharma, Zydus, Cipla and Mankind.
- **Regulation**: CDSCO/DCGI; NPPA/DPCO price controls; PLI and Biopharma SHAKTI support domestic manufacturing/R&D.
- **Growth drivers**: healthcare demand, exports, complex generics, CDMO outsourcing, localisation and R&D investment.
- **Key risks**: US/EU regulatory actions, pricing pressure, US generic erosion, geopolitical/supply-chain issues and high capex intensity.

Financial overview – last three years

	FY24A	FY25A	FY26A
Revenue	₹5,041	₹5,554	₹6,813
EBIT	₹414	₹685	₹1,346
PAT	₹161	₹358	₹889
ROCE	7.8%	11.8%	19.6%
ROE	3.9%	8.0%	16.8%
D/E	0.6x	0.6x	0.4x

Revenue Growth Story

Revenue growth assumption %:

Primary forecast: 15% consolidated revenue growth p.a. in FY27E–FY31E.

(1) **Rationale**: Moderated from FY26 revenue growth of 23%; assumes sustained CDMO momentum and continued scale-up while normalising growth as the base expands.

(2) **Scenario 2:** 20% small-molecule CDMO + 20% Bio CDMO + 10% Affordable Medicines growth; FY31 revenue ₹12,798 Cr.

(3) **Operating anchor:** Forecast EBITDA margin 26% vs. FY26A 26.8%; gross margin held at 60%.

Laurus Labs | Valuation Overview

Key assumptions

DCF assumptions

WACC: 14.0%

Terminal growth: 4.0%

Comparable selection

Peers: Divi's Laboratories, Torrent Pharma, Sun Pharma, Zydus Lifesciences, Cipla, Mankind Pharma.

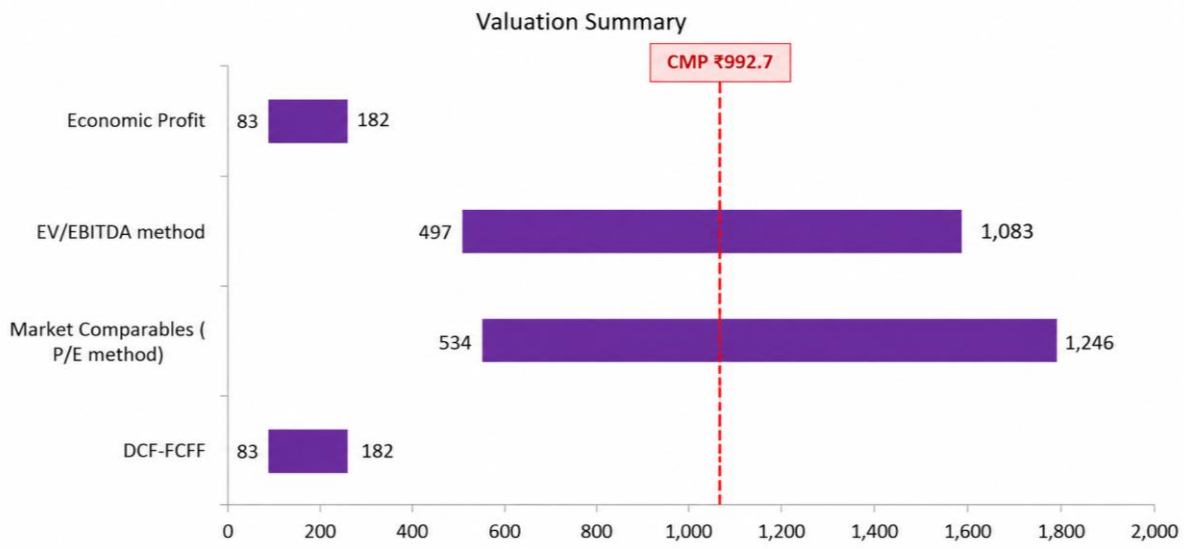
Why: business overlap in Indian pharma, APIs/formulations/CDMO, scale and comparable return characteristics.

Multiples: P/E and EV/EBITDA; median peer multiples = 41.6x and 22.5x.

Implied point values: P/E ₹683.5/share; EV/EBITDA ₹721.5/share.

CMP: ₹992.7
3-method reference value: ₹304.5
Implied downside: 69.3%
Recommendation: SELL

Football Field – DCF, Market Comparables & Economic Profit
₹ per share



Laurus Labs | Investment Rationale

CMPS:
₹992.70 per share (CMP *as of 30-Mar-2026)*

Fair Value (Based on all methods)
₹304.5
69.3% below the valuation-date CMP

Recommendation
SELL

How we got to fair value (₹ per share)

VALUATION SUMMARY

Method	Value per share (Rs)	Weight	Contribution
DCF-FCFF	112.5	33.30%	37.5
Market Comparables (P/E method)	683.5	33.30%	227.6
Economic Profit	118.5	33.30%	39.5
Equal-weighted reference value per share (3 methods)		100%	304.5

Why we say SELL

- **Valuation gap:** The equal-weighted reference value of ₹304.8 is 69.3% below the valuation-date CMP of ₹992.7.
- **Operating growth:** FY26 revenue grew 23% YoY, EBITDA 64% and PAT 148%; CDMO revenue grew 36% and reached ~31% of revenue.
- **DCF & Economic Profit:** DCF-FCFF of ₹112.5 and Economic Profit of ₹118.5 are substantially below the valuation-date market price.
- **Reinvestment intensity:** The model assumes ₹1,200 Cr annual capex and rising working capital, constraining near-term FCFF and increasing funding needs.
- **Key risks:** Valuation remains sensitive to WACC, terminal growth and margin delivery; regulatory/pricing and customer execution risks remain relevant.